AC4408

Financial Reporting 2

Autumn 2024 Examination

Paper 1 · 1.5 hours · Answer Question 1 (compulsory) and EITHER Question 2 OR Question 3

Module	AC4408 — Financial Reporting 2
Session	Autumn 2024
Structure	Question 1 is compulsory (60 marks). Then answer EITHER Question 2 (40 marks) OR Question 3 (40 marks). Total 100 marks.
This scheme covers	Question 1 in full, PLUS both Question 2 and Question 3 in full — so you can study whichever optional route you'd pick, or compare both before deciding.

Own-figure rule. If you carry an early error into a later part of a question but apply the right method consistently from that point on, you still pick up the method marks for those later steps. This applies throughout the consolidation workings in Question 1.

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Question 1

Compulsory — Consolidation & IAS 8 (60 Marks)

Part A

50 Marks

The following are the summary Statements of Financial Position of Azzurro Ltd ("Azzurro") and Rosso Ltd ("Rosso") as at 31 December 2023:

	Azzurro Ltd €'000	Rosso Ltd €'000
Non-Current Assets:		
Tangible Assets	1,400	280
Loans	50	—
Investment in Rosso Ltd	200	—
	1,650	**280**
Current Assets	225	45
Total Assets	**1,875**	**325**
Equity and Liabilities:		
Ordinary Share Capital	1,250	150
Retained Earnings	425	55
	1,675	**205**
Non-current Liabilities:		
Long-term loans	—	40
Current Liabilities	200	80
Total Equity and Liabilities	**1,875**	**325**

The following information is also relevant:

- Azzurro bought 80% of the ordinary shares of Rosso on 1 January 2022. Rosso's retained earnings was €15,000 at the date of acquisition.
- Azzurro Ltd supplied goods to Rosso Ltd to the value of €10,000 for which it has not yet been paid. These goods cost Azzurro Ltd €7,000 and Rosso Ltd still had half of them in inventory at 31 December 2023.
- Fair value of Rosso's assets was undervalued by €12,000 at acquisition date. To date, this was not accounted for in the separate financial statements of Rosso Ltd.
- Included in Azzurro Ltd's loans is one of €25,000 receivable from Rosso Ltd.
- Goodwill is impaired during the year ended 31 December 2023 in the amount of €5,000.

Non-Controlling Interests are measured based on their proportionate share at the date of acquisition.

Required: Showing the relevant workings, prepare the Consolidated Statement of Financial Position as at 31 December 2023 for the Azzurro Limited Group.

FULL MODEL ANSWER

Working 1 — Net Assets of Rosso at Acquisition (1 Jan 2022)

	€'000
Share capital	150
Retained earnings at acquisition	15
Fair value uplift (not yet recorded by Rosso)	12
Net assets at acquisition	**177**

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Working 2 — Goodwill (Proportionate Method)

	€'000
Cost of investment	200
NCI at acquisition (20% × 177, proportionate share of net assets)	35.4
Less: net assets at acquisition (Working 1)	(177)
Goodwill (gross, before impairment)	**58.4**

Under the **proportionate** method (unlike the fair value method), NCI was never allocated a share of goodwill in the first place — so the entire impairment falls on the group:

	€'000
Goodwill (gross)	58.4
Less: impairment (charged wholly to the group)	(5)
Goodwill (net, at 31 December 2023)	**53.4**

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Working 3 — Unrealised Profit on Intra-Group Trading (PUP)

Azzurro (the parent) sold goods to Rosso (the subsidiary) — this is a **downstream** transaction, so any unrealised profit sits entirely with the seller (Azzurro/the parent) and is eliminated wholly against the group, with no share allocated to NCI.

	€'000
Intra-group sale (selling price)	10
Cost to Azzurro	7
Half still held in Rosso's inventory at year end	50%
Selling price of unsold half (5) less cost of unsold half (3.5)	
Unrealised profit (PUP)	**1.5**

Working 4 — Non-Controlling Interest at Year End

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	€'000
NCI at acquisition (Working 2)	35.4
Rosso's post-acquisition reserves (55 − 15)	40
NCI share of post-acquisition reserves (20% × 40)	8
NCI at 31 December 2023	**43.4**

No impairment deduction applies to NCI here — under the proportionate method, the whole impairment loss was already charged entirely to the group in Working 2, so it doesn't reduce NCI a second time.

Working 5 — Consolidated Retained Earnings

	€'000
Azzurro's own retained earnings	425
Less: unrealised profit, PUP (Working 3, downstream, borne fully by group)	(1.5)
Add: group share of Rosso's post-acquisition reserves (80% × 40)	32
Less: goodwill impairment (charged wholly to group, Working 2)	(5)
Consolidated retained earnings	**450.5**

Azzurro Limited Group — Consolidated Statement of Financial Position as at 31 December 2023

	€'000
Non-Current Assets:	
Tangible assets (1,400 + 280 + 12 FV uplift)	1,692
Loans (50 − 25 intercompany, external only)	25
Goodwill (Working 2)	53.4
	1,770.4
Current Assets (225 + 45 − 1.5 PUP − 10 intercompany trade)	258.5
Total Assets	**2,028.9**
Equity and Liabilities:	
Ordinary share capital (parent only)	1,250
Retained earnings (Working 5)	450.5
Non-controlling interest (Working 4)	43.4
	1,743.9
Long-term loans (40 − 25 intercompany, external only)	15
Current liabilities (200 + 80 − 10 intercompany trade)	270
Total Equity and Liabilities	**2,028.9**

The consolidated SOFP balances exactly at €2,028.9 ('000) both sides. Two separate intercompany balances are eliminated here: the €25,000 loan (netted against Azzurro's Loans asset and Rosso's Long-term loans liability) and the €10,000 unpaid trade balance for the goods sale (netted against combined current assets and current liabilities) — two distinct intercompany relationships that shouldn't be confused with each other.

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How the 50 Marks Are Likely Allocated

Tier	Marks	What separates this tier
40–50	40–50	Correctly computes goodwill using the proportionate method, correctly identifies the downstream nature of the PUP and eliminates it fully against the group, correctly eliminates both intercompany balances (the loan and the trade balance) from both sides, correctly recognises that the whole goodwill impairment falls on the group under the proportionate method (not shared with NCI), and produces a consolidated SOFP that balances.
25–39	25–39	Correct method throughout but with one component wrong (e.g. splitting the goodwill impairment with NCI as if the fair value method applied, or missing one of the two intercompany eliminations) — own-figure marks apply if carried through consistently.
12–24	12–24	Goodwill and NCI at acquisition correctly calculated using the proportionate method, but most post-acquisition adjustments (PUP, impairment, intercompany eliminations) missing or materially wrong.
0–11	0–11	No attempt, or a fundamental misunderstanding of the acquisition method.

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Part B **10 Marks**

Required: Briefly explain when a change in Accounting Policy is permitted under IAS 8.

FULL MODEL ANSWER

IAS 8 sets a deliberately high bar for changing accounting policy — the default expectation is consistency from one period to the next, and a policy can only be changed in one of two circumstances:

1. The change is required by an IFRS Standard. If a new or amended IFRS Standard requires a different accounting policy (for example, a newly issued standard replacing an existing one), the entity must adopt the new policy in line with that standard's own transition provisions. This isn't really a discretionary choice at all — the entity has no option but to comply.

2. The change results in the financial statements providing more relevant and more reliable information. An entity may voluntarily change an accounting policy only if doing so gives users a better, more faithful picture of the effects of transactions, other events, or conditions on the entity's financial position, financial performance, or cash flows. This is a genuinely high bar — a voluntary change has to be justified on the basis of improved information quality, not convenience, tax effect, or a desire to present more favourable results.

What does **not** justify a change in accounting policy: applying a policy to transactions that are genuinely different in substance from those it was previously applied to (that's not a policy change at all, since the underlying facts differ), or applying a new policy to transactions that didn't occur previously or that were immaterial before (again, not a change to an existing policy). It's also worth distinguishing a change in accounting *policy* from a change in accounting *estimate* (governed by different rules under IAS 8, and generally applied prospectively rather than requiring the retrospective restatement that a genuine policy change does) — a common source of confusion in this area.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly identifies both permitted grounds (required by a Standard, OR provides more relevant and reliable information), explains why the second ground is a genuinely high bar rather than a discretionary convenience, and distinguishes a policy change from an estimate change or a change necessitated by different underlying transactions.
5–7	5–7	Correctly identifies both permitted grounds but with limited explanation of why the voluntary ground requires genuine justification.
2–4	2–4	States only one of the two permitted grounds.
0–1	0–1	No attempt, or no reference to IAS 8's actual criteria.

Question 1 Total: 60 Marks

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Question 2

Global Standards, Revenue Recognition & Intangible Assets (40 Marks)

Part A

20 Marks

In recent years, there has been increased resistance to the harmonisation of international accounting standards.

Required:
Critically discuss the need for a global set of accounting standards.

FULL MODEL ANSWER

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The case for global accounting standards is strong on paper, but the growing resistance the question references reflects real, legitimate tensions rather than simple reluctance to change.

The case FOR harmonisation

> **Comparability across borders for investors and capital markets.** A single global set of standards lets investors compare a company in one country directly against a competitor or peer in another without needing to understand or adjust for different national accounting conventions — supporting more efficient allocation of international capital and, in principle, a lower cost of capital for companies that adopt a globally recognised, credible reporting framework.

> **Reduced cost and complexity for multinational groups.** A group operating across many jurisdictions avoids maintaining multiple parallel sets of accounting records under different national frameworks purely for local statutory reporting purposes, and can prepare a single consolidated set of financial statements under one framework, reducing preparation costs and the risk of translation or reconciliation errors between frameworks.

> **Easier cross-border listing, M&A, and regulatory cooperation.** Common standards simplify cross-border stock exchange listings, due diligence in mergers and acquisitions, and cooperation between national regulators, since all parties are working from a shared reporting language rather than needing to translate between frameworks.

The resistance, and why it's genuinely substantive

> **National legal and institutional differences don't disappear just because standards are shared.** IFRS is principles-based and requires substantial judgement in application; how that judgement is exercised, audited, and enforced still depends heavily on national legal systems, enforcement bodies, and professional norms. Identical standards applied in a jurisdiction with weak enforcement can still produce very different real-world outcomes from the same standards applied somewhere with robust regulatory oversight — harmonised standards don't automatically mean harmonised practice.

> **A single set of rules doesn't fit every economic and legal environment equally well.** Standards developed with large public capital markets in mind can be a poor fit for economies with different ownership structures (more family-owned or state-owned enterprises, less reliance on public equity markets), different legal traditions (code law versus common law approaches to legal certainty and precedent), or different levels of market development — a genuine, not merely political, objection to a one-size-fits-all approach.

> **Persistent, high-profile non-convergence undermines the case that global standards are inevitable.** The continued separate existence of US GAAP alongside IFRS, despite years of formal convergence efforts between the FASB and IASB, is the clearest evidence that full harmonisation faces real, durable political and institutional barriers even between two of the world's most developed capital markets — if convergence hasn't succeeded there, its prospects elsewhere are reasonably questioned.

National sovereignty and political control over economic policy. Accounting standards interact with tax policy, prudential regulation of banks and insurers, and broader economic policy in ways governments are reluctant to cede control over entirely to an international standard-setter (the IASB) that isn't directly accountable to any single national electorate or legislature.

A reasoned conclusion

The need for comparability is real, but full, uniform global harmonisation may be neither fully achievable nor the only way to get most of the benefit. A more realistic middle ground — widespread IFRS adoption with carve-outs and national supplementary requirements (as in the EU), alongside continued coexistence with major alternative frameworks like US GAAP — may deliver most of the comparability and cost benefits of full harmonisation without requiring every jurisdiction to fully cede standard-setting sovereignty, which explains why resistance has grown even as the underlying case for comparability remains widely accepted.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15–20	15–20	Presents genuine arguments both for harmonisation (comparability, cost reduction, cross-border efficiency) and for the resistance to it (enforcement/institutional differences, fit with different economies and legal systems, US GAAP/IFRS non-convergence, sovereignty concerns), and reaches a reasoned conclusion rather than a one-sided answer.
10–14	10–14	Covers several arguments on both sides adequately but without a clear, well-supported overall conclusion.
5–9	5–9	One-sided discussion (only benefits, or only resistance), or generic treatment without specific examples (e.g. US GAAP/IFRS convergence).
0–4	0–4	No attempt, or minimal engagement with the question.

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Part B **10 Marks**

Sonno Limited entered into a contract with a customer to sell laptops for €1,000 per unit on 1 January 2022. If the customer purchases more than 800 laptops in a calendar year, the contract states that the price per unit is retrospectively reduced to €950 per unit. As at 1 April 2022, Sonno Limited has sold 500 laptops to the customer. Sonno believes it is highly likely that the customer will exceed the threshold.

Required: Identify the treatment and journal entries of this revenue under IFRS 15.

FULL MODEL ANSWER

This is a **variable consideration** arrangement under IFRS 15 — the retroactive volume discount means the actual transaction price per unit isn't settled until it's known whether the 800-unit threshold will be crossed by year end.

Estimating variable consideration: the "most likely amount" method fits best here. IFRS 15.53 offers two estimation approaches: the expected value method (probability-weighted across a range of outcomes) and the most likely amount method (the single most likely outcome). Because this arrangement is genuinely binary — either the customer crosses 800 units and the price for ALL units retroactively drops to €950, or they don't and it stays at €1,000 — the most likely amount method is the more appropriate estimation technique, rather than a probability-weighted blend of the two prices.

The constraint on variable consideration: only recognise revenue not subject to significant reversal. IFRS 15.56-.58 requires that variable consideration only be included in the transaction price to the extent it's highly probable a significant reversal won't occur once the uncertainty resolves. Since Sonno "believes it is highly likely" the customer will exceed the threshold, the €950 reduced price should be used as the basis for revenue recognition now, rather than the €1,000 list price — recognising revenue at €1,000 now would risk a significant reversal later if the threshold is in fact reached, which is exactly the scenario Sonno itself considers highly likely.

The Numbers

	€
Invoiced amount for 500 units at the list price (500 × €1,000)	500,000
Revenue recognised at the expected final price (500 × €950)	475,000
Refund liability (amount expected to be repaid/credited to the customer)	**25,000**

Journal Entry (as at 1 April 2022, for the 500 units sold)

Journal	Debit €	Credit €
Trade receivable / Contract asset	500,000	
Revenue		475,000
Refund liability		**25,000**

If Sonno's expectation later changes (for instance, if it becomes clear the customer won't reach 800 units after all), the refund liability would be released and additional revenue recognised at that point, catching up the difference — IFRS 15 requires the estimate of variable consideration to be reassessed at each reporting date, not simply set once at contract inception. A common error is recognising the full €500,000 as revenue now and only adjusting for the discount once the threshold is actually reached — that would overstate revenue in the interim periods given Sonno already believes the discount is highly likely to apply.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly identifies this as variable consideration requiring the constraint to be applied, correctly selects the most likely amount method given the binary, all-or-nothing structure of the rebate, and correctly journals revenue at the expected €950 price with the difference held as a refund liability.
5–7	5–7	Correctly identifies variable consideration is relevant but recognises revenue at the €1,000 list price rather than constraining it to the expected €950, or omits the refund liability.
2–4	2–4	Recognises revenue is affected by the volume threshold but doesn't apply IFRS 15's variable consideration framework specifically.
0–1	0–1	No attempt, or no reference to IFRS 15 at all.

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Part C **10 Marks**

Ireland is host to some of the world's most research-intensive industries.

Required: Describe the criteria which must be met in order to capitalise an intangible asset under IAS 38 and what costs may be capitalised.

FULL MODEL ANSWER

The General Recognition Criteria

Identifiability. The asset must be separable (capable of being sold, transferred, licensed, or exchanged separately from the business) or must arise from contractual or other legal rights, regardless of whether those rights are themselves separately transferable.

Control. The entity must have the power to obtain the future economic benefits flowing from the asset and to restrict others' access to those benefits — typically through legal rights, though legal enforceability isn't strictly a precondition if control can be demonstrated another way.

Probable future economic benefits. It must be probable that the expected future economic benefits attributable to the asset will flow to the entity, based on reasonable and supportable assumptions about conditions over the asset's useful life.

Reliable measurement of cost. The cost of the asset must be capable of being measured reliably — a particular challenge for internally generated intangibles, where cost is often difficult to separate from the general cost of maintaining or enhancing the business.

The Additional Development-Phase Criteria (Research-Intensive Industries)

For **internally generated** intangible assets specifically — highly relevant given the research-intensive industries referenced in the question — IAS 38 draws a hard line between research and development:

Research costs must always be expensed. IAS 38.54 is unambiguous that expenditure on research (or on the research phase of an internal project) must be expensed as incurred, since at that stage an entity cannot yet demonstrate that a probable future economic benefit exists.

Development costs can be capitalised, but only if ALL SIX criteria are met (IAS 38.57). (a) technical feasibility of completing the asset so it will be available for use or sale; (b) intention to complete the asset and use or sell it; (c) ability to use or sell the asset; (d) how the asset will generate probable future economic benefits (including evidence of a market for the asset's output, or, if for internal use, its usefulness); (e) availability of adequate technical, financial, and other resources to complete the development and use or sell the asset; and (f) ability to reliably measure the expenditure attributable to the asset during its development.

Costs That May Be Capitalised

Directly attributable costs incurred from the point all six development criteria are first met. This includes materials and services consumed in generating the asset, salaries and related costs of personnel directly engaged in developing it, fees to register a legal right, and amortisation of patents and licences used to generate the asset, along with directly attributable overheads necessary to create the asset and, where applicable, capitalised borrowing costs under IAS 23 on qualifying development expenditure.

What can **never** be capitalised, regardless of how the development criteria are met: internally generated goodwill, brands, mastheads, publishing titles, customer lists, and similar items (IAS 38.63) — these are specifically excluded because they cannot be reliably distinguished from the cost of developing the business as a whole. General and administrative overheads, and clearly identified inefficient or initial operating losses before the asset reaches planned performance, are also excluded even if the six criteria are otherwise met.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly states the four general recognition criteria AND the six development-phase criteria (or at least several of them specifically), correctly distinguishes research (always expensed) from development (conditionally capitalised), and identifies specific capitalisable cost categories along with at least one item that can never be capitalised.
5–7	5–7	Correctly states the general recognition criteria and the research/development distinction, but with limited detail on the specific six development criteria or capitalisable cost categories.
2–4	2–4	General discussion of intangible asset recognition without the specific IAS 38 criteria.
0–1	0–1	No attempt, or no reference to IAS 38's actual recognition criteria.

Question 2 Total: 40 Marks

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Question 3

Standard Implementation, Borrowing Costs & Sustainability Assurance (40 Marks)

Part A

20 Marks

Since 2011, there have been nine new IFRS issued, many of which supersede existing International Accounting Standards.

Required:
Discuss some of the practical issues which can occur in accounting departments when implementing a new accounting standard.

FULL MODEL ANSWER

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Data availability for retrospective application. Many new standards require full retrospective restatement of comparative periods (as if the new standard had always applied), which means accounting teams often need historical data, contracts, or estimates that were never captured in the level of detail the new standard now requires — IFRS 16's transition requiring lease-by-lease data on payment schedules and discount rates going back years is a good example of this challenge in practice.

Systems and IT changes. A genuinely new accounting model (rather than a minor amendment) often can't be supported by existing general ledger or subsidiary systems — IFRS 16 again is illustrative, since most companies needed entirely new lease-accounting software to track thousands of individual leases, calculate amortisation schedules, and produce the required disclosures, representing a genuine capital and time investment separate from the accounting judgement itself.

Interpreting principles-based standards consistently across the business. IFRS standards are principles-based, leaving genuine room for judgement in application — a multi-location or multi-subsidiary group risks different parts of the business interpreting the same new standard differently unless central accounting policy guidance, training, and review processes are put in place quickly and consistently.

Resourcing and competing priorities. Implementing a new standard properly (impact assessment, system changes, restated comparatives, staff training, updated internal controls) takes significant accounting team time and often external advisory or audit support, competing directly with the department's ongoing responsibilities — a particular strain for smaller finance functions without dedicated technical accounting resource.

Auditor and external stakeholder engagement. Auditors need to be satisfied with the judgements made in first-time application of a new standard, which can mean extended audit timelines and additional documentation requirements in the transition year, and analysts and investors need clear communication about how the transition affects reported figures, since a genuinely new accounting model can otherwise make year-on-year comparisons look confusing or misleading if not properly explained.

Staff training and change management. Beyond the technical accounting itself, staff throughout the organisation (not just the accounting department) often need to understand the practical implications of a new standard — for instance, operational teams negotiating new leases need to understand that lease terms now have direct balance sheet consequences under IFRS 16, which requires genuine change management, not just a technical accounting memo.

A strong answer grounds these practical issues in a concrete example (IFRS 16's transition is a natural choice, given how comprehensively it changed lessee accounting) rather than discussing "implementing a new standard" purely in the abstract.

How the 20 Marks Are Likely Allocated

Tier	Marks	What separates this tier
15–20	15–20	Discusses multiple genuinely distinct practical issues (data availability, systems changes, consistent interpretation, resourcing, external stakeholder communication, training) with specific reasoning for each, ideally grounded in a concrete example such as IFRS 16 or IFRS 15/9 transition.
10–14	10–14	Covers several genuine issues but in generic terms, without a concrete standard used as an illustrative example.
5–9	5–9	General discussion of standard-setting change without specific practical implementation issues identified.
0–4	0–4	No attempt, or minimal engagement with the question.

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Part B **10 Marks**

On 1 January 2023, Columbus Ltd began construction on a new supermarket. It purchased a leasehold interest in the site for €10 million. The construction of the building cost €60 million and the fixtures and fittings cost €15 million. The construction of the office was completed on 1 September 2023, and it was available for use from 31 December 2023. Columbus Ltd borrowed €100 million on 1 October 2022 in order to finance this project. The loan carried interest at 10% per annum. It was repaid in full on 1 February 2024.

Required: Calculate the total amount to be included in property, plant and equipment in respect of the development at 31 December 2023 under IAS 23.

FULL MODEL ANSWER

Step 1 — Direct Costs of the Development

	€m
Leasehold interest in the site	10
Construction of the building	60
Fixtures and fittings	15
Total direct costs	**85**

Step 2 — The Capitalisation Period for Borrowing Costs (IAS 23)

Capitalisation of borrowing costs can only begin once **all three** conditions are met simultaneously: expenditure on the asset is being incurred, borrowing costs are being incurred, and activities necessary to prepare the asset for its intended use are in progress.

> **Start date: 1 January 2023.** Although the €100 million loan was drawn down on 1 October 2022, expenditure on the supermarket development and construction activity itself didn't begin until 1 January 2023 — capitalisation can't start before the later of the two dates, so 1 January 2023 is the correct starting point, not the loan drawdown date.

> **End date: 31 December 2023, NOT 1 September 2023.** This is the key judgement in the question. Capitalisation ceases when substantially all the activities necessary to prepare the asset for its **intended use** are complete — not merely when the building shell is finished. The question specifically states the building construction was complete on 1 September 2023, but the supermarket wasn't actually **available for use** until 31 December 2023. The most likely explanation, given fixtures and fittings are listed as a separate €15 million cost item, is that shelving, refrigeration, checkouts and other fit-out work continued between September and December — genuinely necessary activity to get a functioning supermarket (not just an empty building) ready for its intended use. Capitalisation should therefore continue through the full period the asset was actually being prepared, ending 31 December 2023.

Capitalisation period: 1 January 2023 to 31 December 2023 = 12 months

Step 3 — Capitalised Borrowing Cost

Capitalised borrowing cost = €100m × 10% × 12/12
= €10 million

Because this is a specific borrowing taken out to finance this exact project, the full actual interest cost incurred on the €100m loan during the capitalisation period is capitalised, with no need to prorate down to the €85m of direct costs actually spent — IAS 23.12 capitalises the actual borrowing cost incurred on a specific borrowing (less any investment income on temporarily surplus funds, none of which is mentioned here). The loan continued beyond 31 December 2023 (repaid 1 February 2024), but no further interest is capitalised after that date, since the asset was already available for use — the remaining month's interest to repayment is simply expensed as a normal finance cost in the following period.

Total Amount for Property, Plant and Equipment

	€m
Direct costs (Step 1)	85
Capitalised borrowing costs (Step 3)	10
Total PP&E at 31 December 2023	**95**

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Correctly totals the €85m of direct costs, correctly identifies the capitalisation period as running the full 12 months to 31 December 2023 (recognising that the asset wasn't ready for its intended use until then, despite the building shell finishing earlier), and correctly capitalises the full €10m of actual interest on the specific borrowing to reach a total of €95m.
5–7	5–7	Correct direct costs and general method, but stops the capitalisation period at 1 September 2023 (8 months) rather than recognising the asset wasn't ready for use until 31 December, understating the capitalised interest.
2–4	2–4	Recognises borrowing costs should be capitalised but with a fundamental error in the capitalisation period or rate applied.
0–1	0–1	No attempt, or all interest expensed with none capitalised.

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Part C **10 Marks**

The Corporate Sustainability Reporting Directive requires mandatory assurance of non-financial information.

Required: Briefly discuss, using examples, the importance of mandatory assurance in sustainability reporting.

FULL MODEL ANSWER

As understood at the time this paper was set (Autumn 2024): the CSRD requires companies in scope to obtain mandatory **limited assurance** over their sustainability statements from their first year of application (financial years starting on or after 1 January 2024 for the first wave of companies), with an originally-planned move toward **reasonable assurance** (a higher standard, involving more extensive testing) at a later date. Note for context: the EU's February 2025 Omnibus package, which postdates this exam, has since proposed dropping that planned move to reasonable assurance and retaining limited assurance only — a genuine subsequent development, not something the original CSRD or this exam sitting would have anticipated.

Mandatory assurance addresses the credibility gap left by voluntary ESG reporting. Before CSRD, sustainability reporting was often voluntary and unaudited, meaning companies could publish impressive-looking sustainability claims with no independent check on their accuracy — the same credibility problem financial reporting faced before statutory audit became mandatory. Requiring a third-party assurance provider (a statutory auditor, or an independent assurance services provider under many Member States' implementation) to review the sustainability statement gives users some of the same confidence long taken for granted in audited financial statements.

Example: assurance over greenhouse gas emissions data. A company reporting its Scope 1, 2, and (increasingly) Scope 3 emissions under the European Sustainability Reporting Standards (ESRS) is required to have that data assured — without this, a company could understate its emissions, or use an inconsistent measurement methodology from year to year, with no external check. Mandatory assurance requires the assurance provider to test the underlying data collection and calculation methodology, not simply accept management's reported figures at face value.

Example: assurance over the double materiality assessment itself. CSRD is built on the concept of double materiality — a company must assess both how sustainability issues affect its own financial position (financial materiality) and how its activities affect people and the environment (impact materiality). Because this assessment itself determines which topics a company even needs to report on, mandatory assurance extending to the materiality assessment process (not just the resulting disclosures) helps prevent companies from selectively scoping out inconvenient topics as "not material" without independent scrutiny of that judgement.

Reducing greenwashing risk and supporting the EU's broader sustainable finance agenda. CSRD sits alongside the EU Taxonomy Regulation and the Sustainable Finance Disclosure Regulation (SFDR), which rely on companies' sustainability disclosures to direct capital toward genuinely sustainable activities. If the underlying disclosures aren't independently assured, the whole sustainable finance framework built on top of them (investment funds claiming sustainable credentials, green bond frameworks, and so on) risks being built on unreliable data, undermining the policy objective mandatory assurance is specifically designed to protect.

How the 10 Marks Are Likely Allocated

Tier	Marks	What separates this tier
8–10	8–10	Explains why mandatory assurance matters (credibility, comparability, reducing greenwashing risk) with at least two specific, well-explained examples (e.g. emissions data, the double materiality assessment), and correctly identifies the limited assurance starting point.
5–7	5–7	Explains the general importance of mandatory assurance but with generic or no specific examples.
2–4	2–4	General discussion of sustainability reporting without specifically addressing why assurance (as opposed to disclosure alone) matters.
0–1	0–1	No attempt, or no reference to CSRD or assurance concepts at all.

Question 3 Total: 40 Marks

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